

Before knowing about GDP and other measures of National Income it is essential to know about two other measures. They are GVA at basic prices and GVA at factor cost.

GVA at basic prices

GVA stands for Gross Value Added. GVA at basic prices is also called GVA at Producer's prices. The term Basic prices is the alternate term to describe Producer's prices. It is different from market prices or buyer's prices. The producer's price is equal to production cost. The buyer's prices over and above producer's prices include product taxes less product subsidies.

Buyer's prices = producer's price + (Product taxes – product subsidies)

The GVA is arrived from output of 11 industries (The 11 industries are listed in box 1.1). The output consists of input material and services which is called intermediate consumption and the value addition made to input material and services to bring it as final goods and services.

Output = Input materials and services + Value added

So to arrive at gross value added the intermediate consumption is deducted from output value. It is in formulaic as below:

GVA at basic prices = Output – Intermediate consumption

Take an example of wheat flour. It is manufactured in industries and is a final product of these industries. Let us take value of 1 kg wheat flour at basic price as `80. So the output is `80. To manufacture wheat flour, wheat and electricity are needed to be used as inputs. Wheat